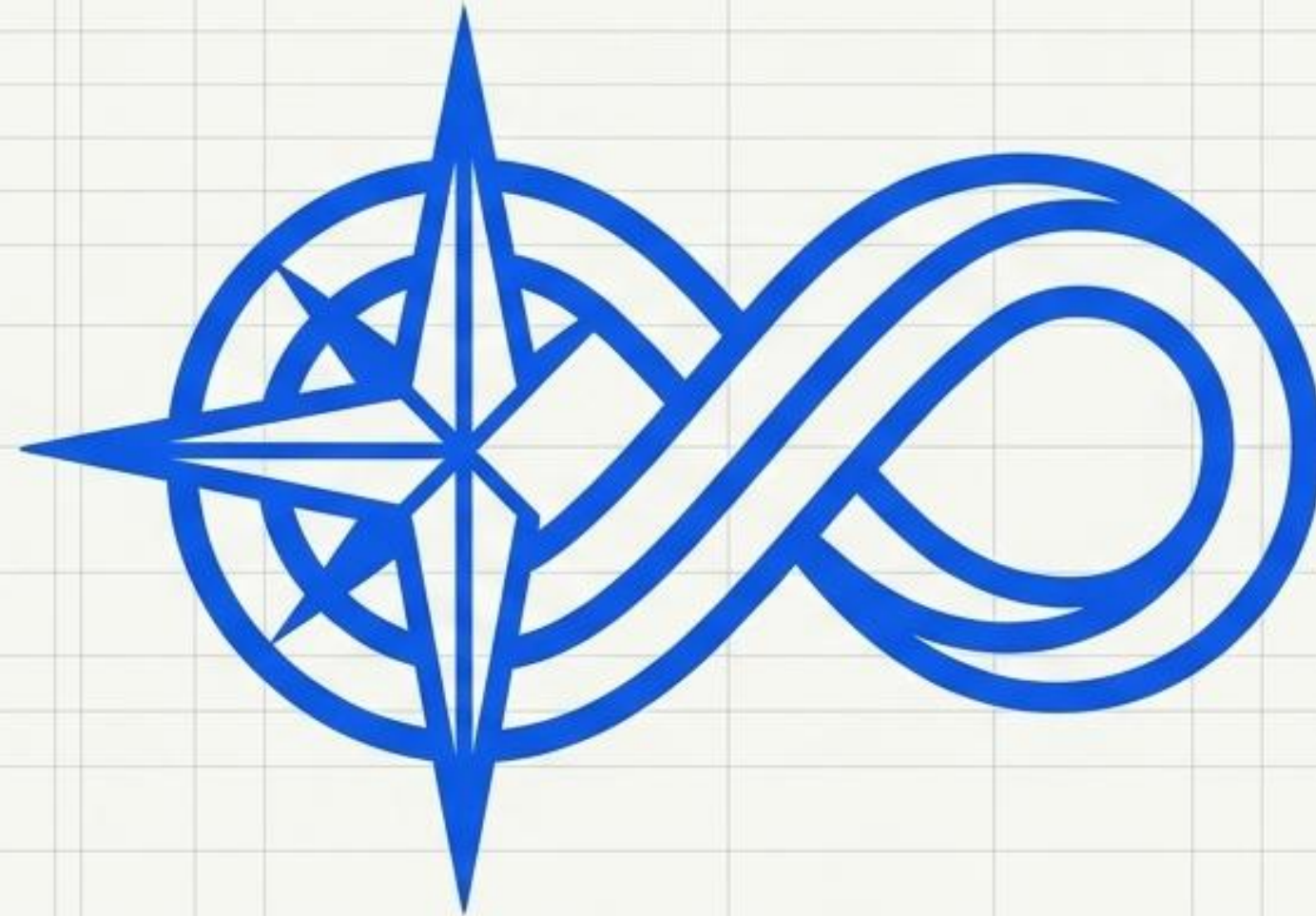




Scientific **Validation** of the **Business Model**

DTI324 Week 7: A Step-by-Step Guide to Building a Great Company

Moving from the execution of a rigid business plan to the discovery of a scalable truth.

Startups do not fail because of bad technology.

The Reality

90%
of startups fail

with 10% failing in the first year alone

(Source: Embroker, 2023)

The Root Cause

**35% of startups fail
due to a lack of
market need**

(Source: CB Insights)

Key Insight: Traditional business plans operate like unguided rocket ships. They prescribe steps and expect results in excruciating detail. If the initial assumptions are wrong, the outcome is catastrophic.

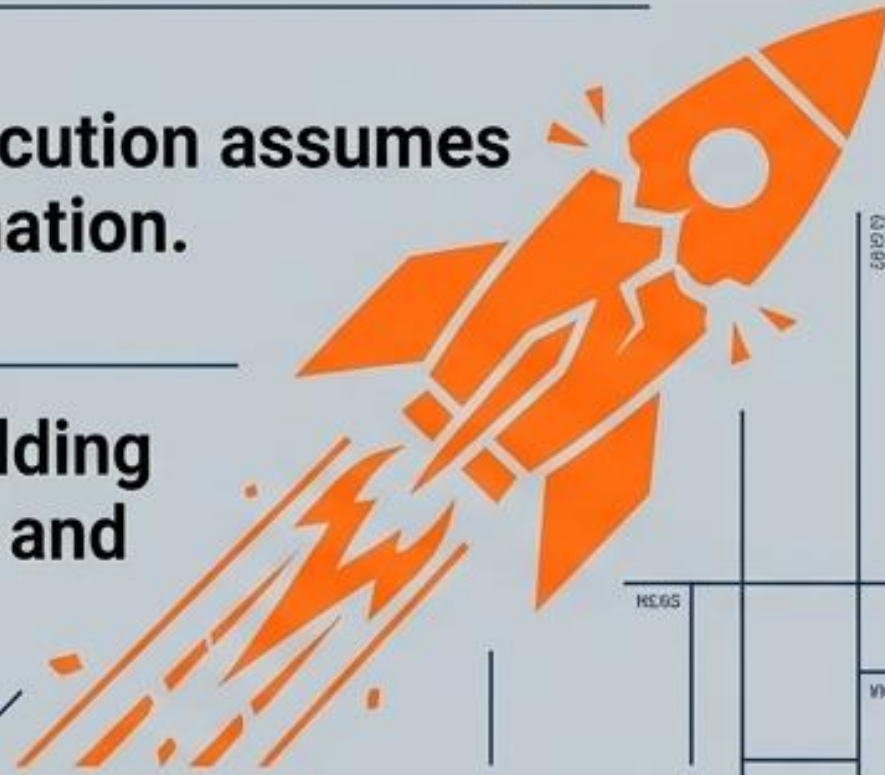
The Paradigm Shift Matrix

The Rocket Ship

Traditional execution assumes a known destination.

Relies on **unyielding business plans and assumptions.**

The Danger: "Achieving failure"—successfully and rigorously executing a plan that turns out to be utterly flawed.



The Steering Wheel

Startups operate in **extreme uncertainty.**

Requires a **steering wheel** for **constant adjustment** based on feedback.



90% of startups fail (Embroker).
35% fail simply due to a **lack of market need** (CB Insights).

Entrepreneurship is a rigorous management science.

The Myth



The “Just Do It” School of Chaos

Extreme Uncertainty

A startup is an institution designed to create new products under conditions of extreme uncertainty.

The Reality

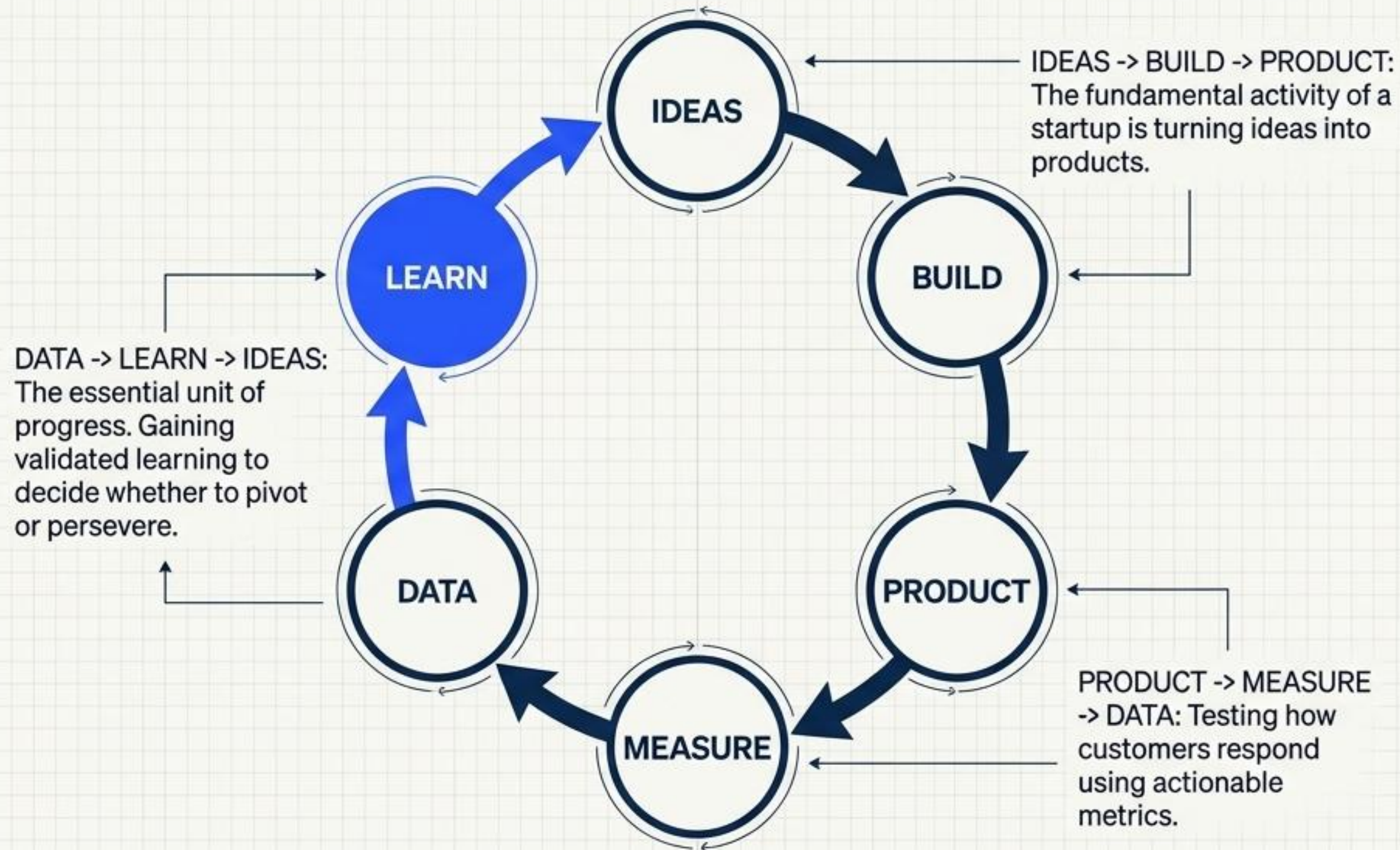


The Steering Wheel

Validated Learning

The true currency of a startup is not revenue or features, but demonstrating empirically that a team has discovered valuable truths about a business’s present and future prospects.

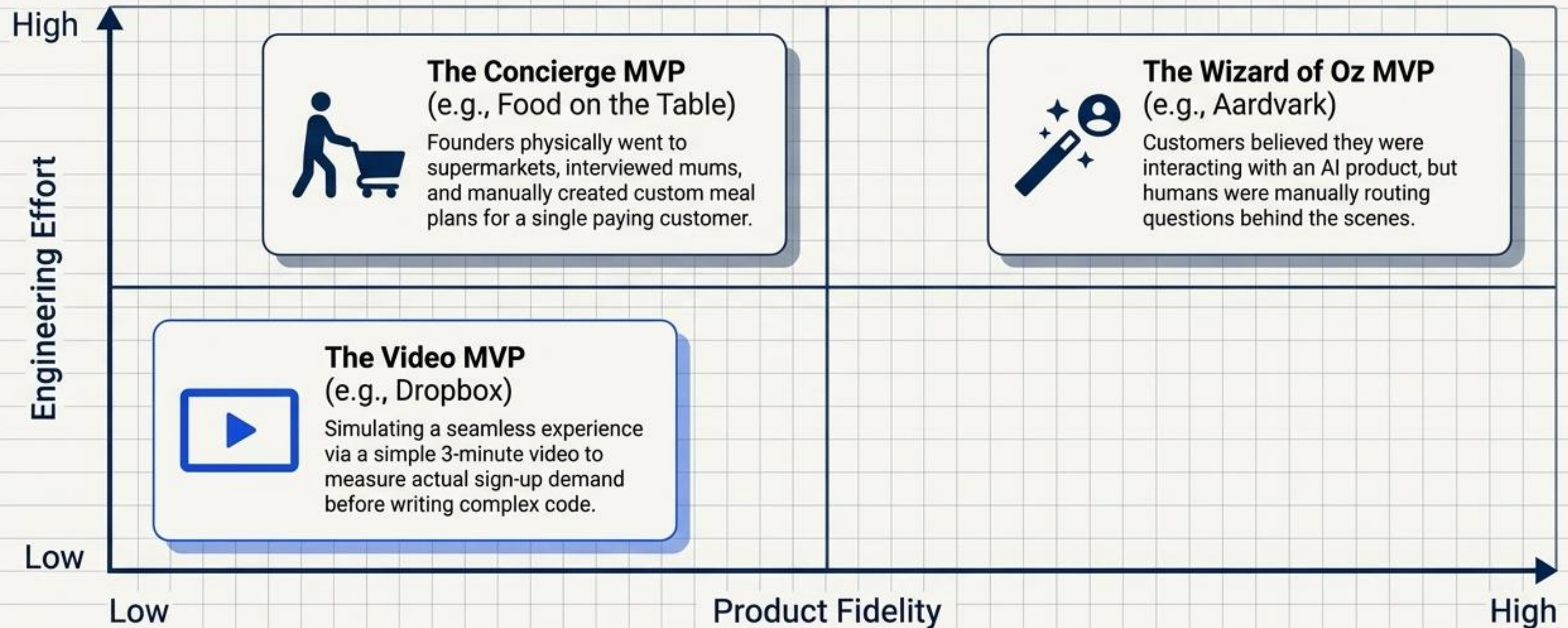
The Engine of Validated Learning



Key Takeaways

- **The Metric of Success:** Validated learning is more concrete and accurate than market forecasting.
- **The Goal:** Minimize the total time it takes to move through this entire loop.

The MVP Spectrum Matrix



If we do not know who the customer is, we do not know what quality is.
Any feature beyond what is required to start learning is waste.

The Customer Discovery Mandate

‘The facts that we need to gather about customers, markets, suppliers, and channels exist only outside the building.’ – Steve Blank



1. Test Assumptions:

Your business plan is currently a list of untested leap-of-faith assumptions.

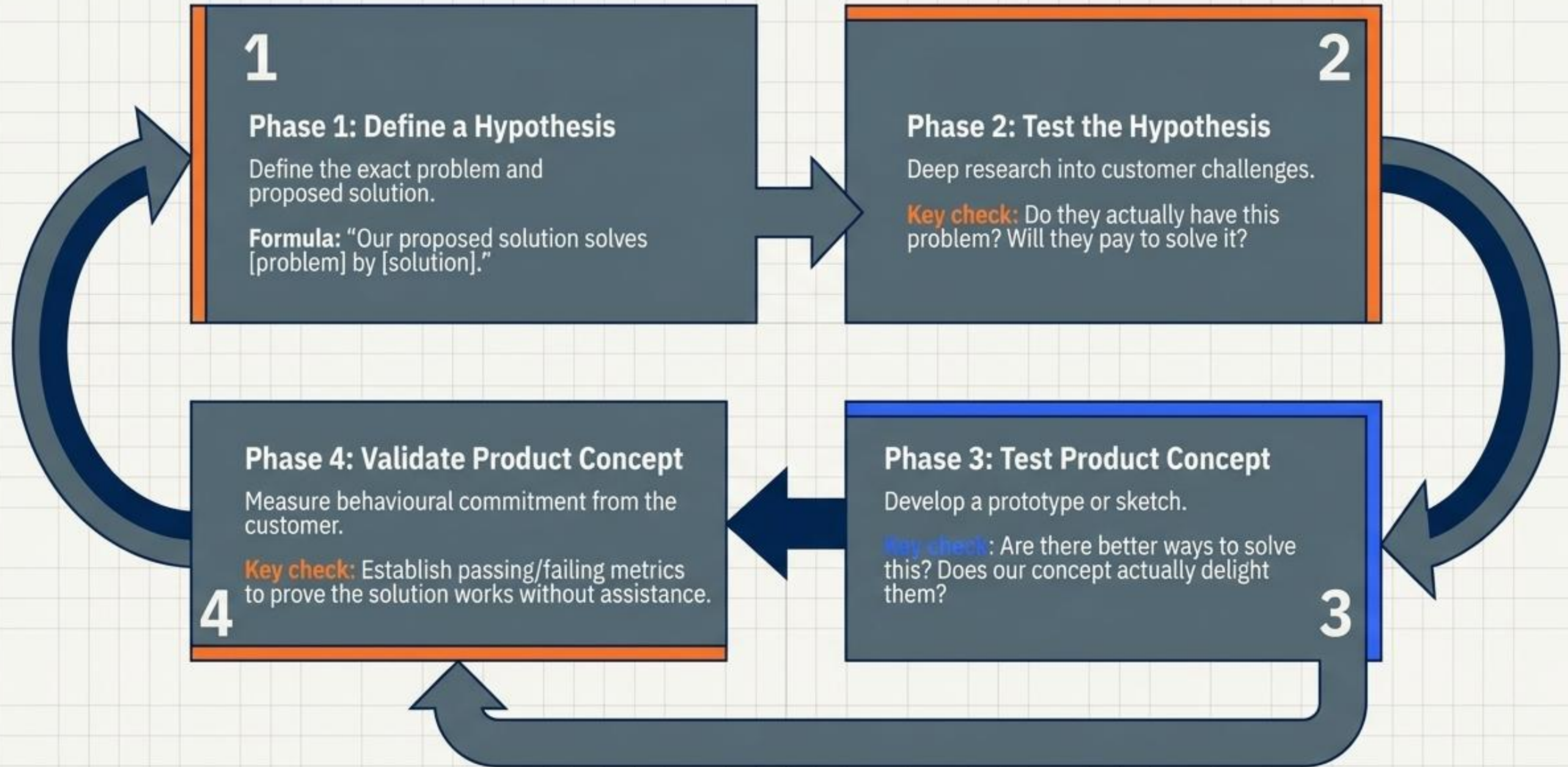
2. Seek Problems, Not Validation:

The goal is actively deciphering where a true market need exists at an early stage.

3. Talk to Real Humans:

You cannot gather behavioural evidence through whiteboard theorizing. You must engage with the friction of the real world.

The Four Phases of Customer Discovery



Customer Discovery is not Product Feedback.

	Customer Discovery 	Product Feedback
Timing	Before committing to a direction.	After a solution exists.
Focus	The user's world, constraints, frustrations, and workarounds.	The product's usability, design, and feature set.
Intent	To validate that a true market problem exists.	To optimize a solution the team has already decided to build.



Showing a product early anchors the conversation. Customers stop describing their needs and start telling you how to fix your prototype.

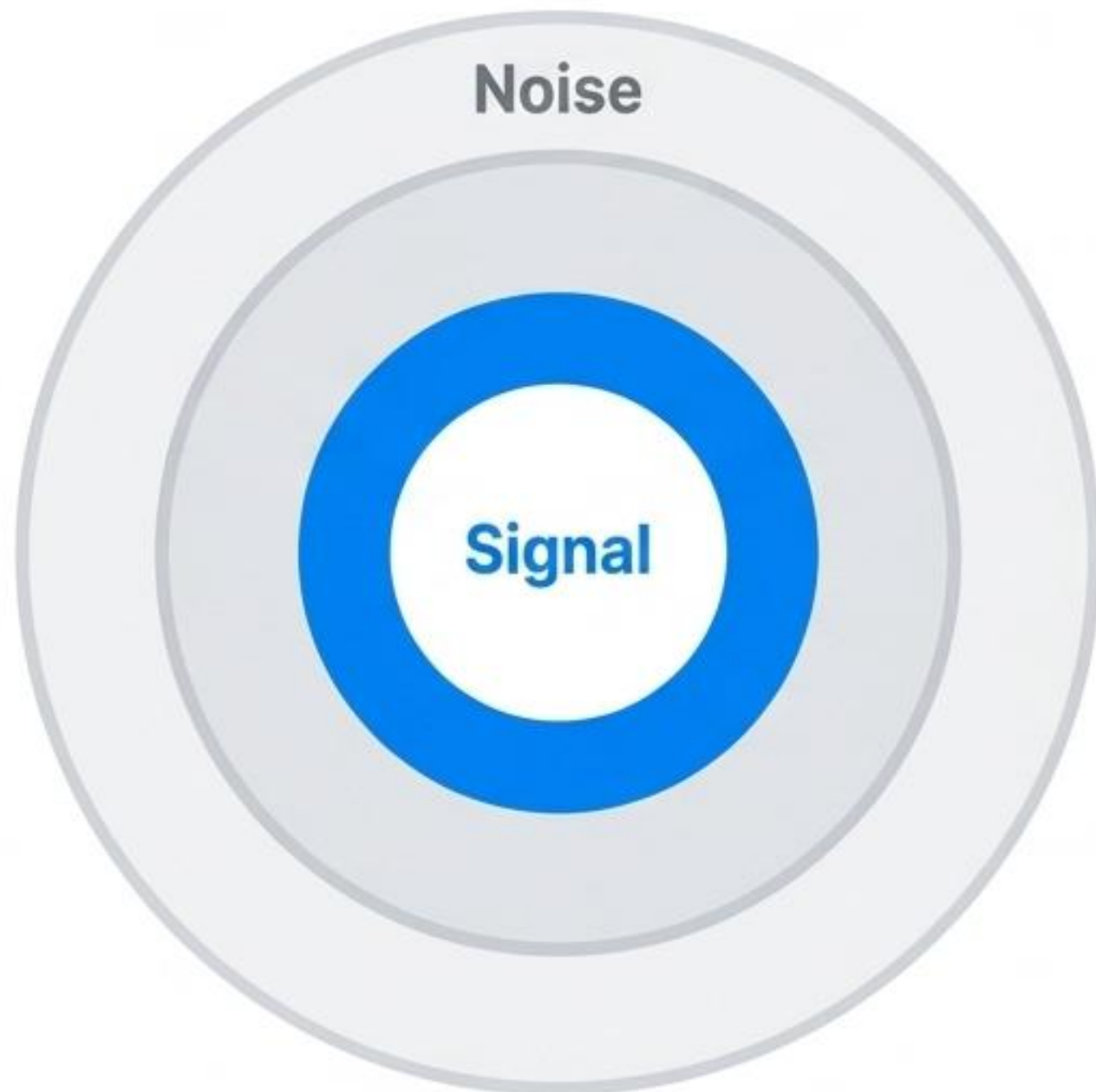
Defeating Bias: The Art of Asking Good Questions

Customers are terrible at predicting their own future behaviour, but highly accurate at recalling past experiences.

 Bad Questions (Hypothetical / Leading)	 Good Questions (Behavioral / Specific)
Would you use a product that did X?	Walk me through how you handle X today.
How much would you pay for this?	What did you spend the last time this problem occurred?
Do you think this feature would be useful?	What happened when this process went wrong last week?
Is this a big problem for you?	Show me the workaround you currently use for this.

Never accept hypothetical answers. Always anchor responses in concrete, recent experiences.

Find the signal by targeting the right subjects.



Tight Segments

Job function, company type, specific behavior.
Vague targeting produces participants who simply confirm your assumptions.

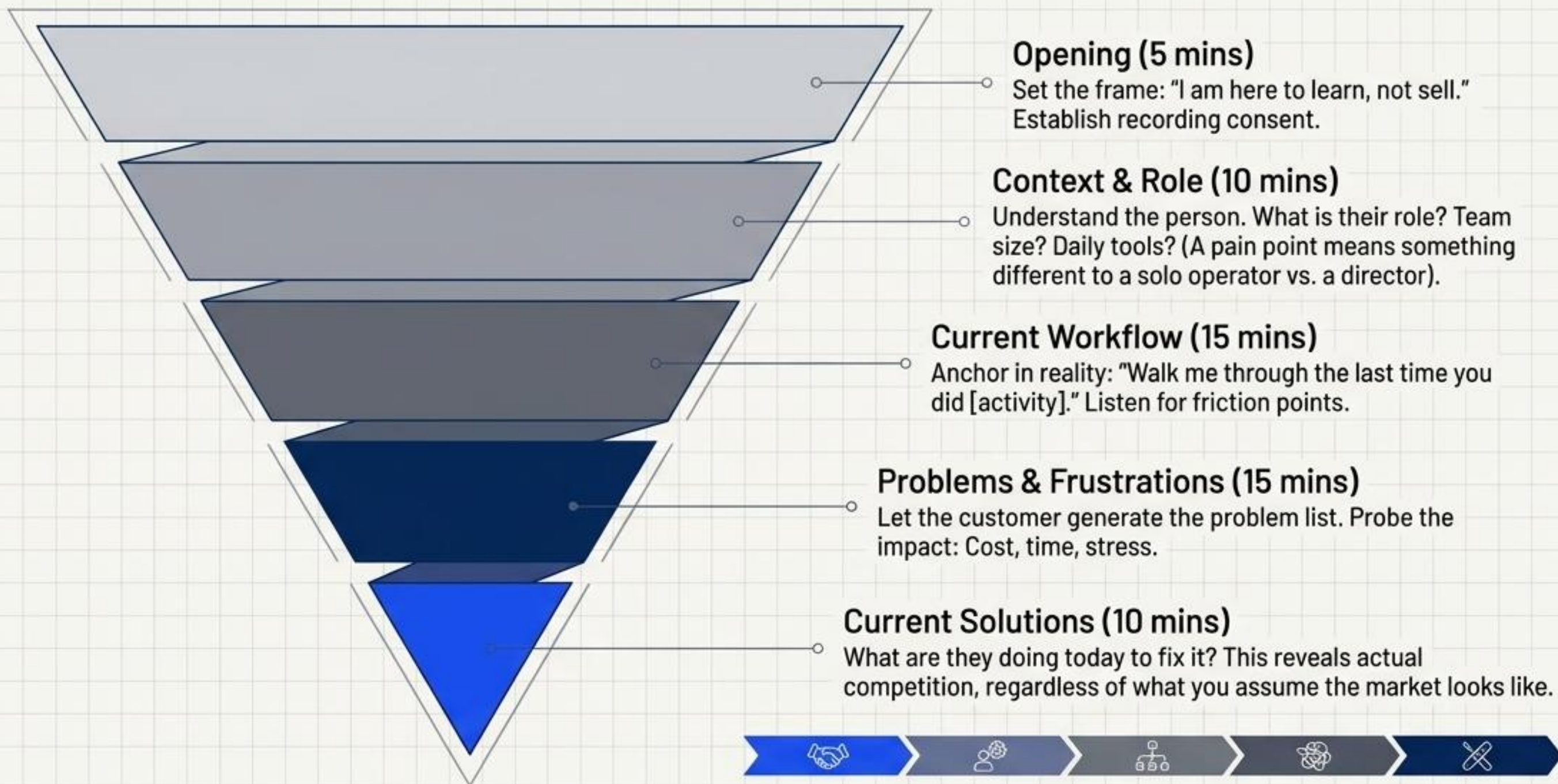
Early Adopters

People who actively feel the problem and are already seeking solutions. They are more articulate about their needs than mainstream users.

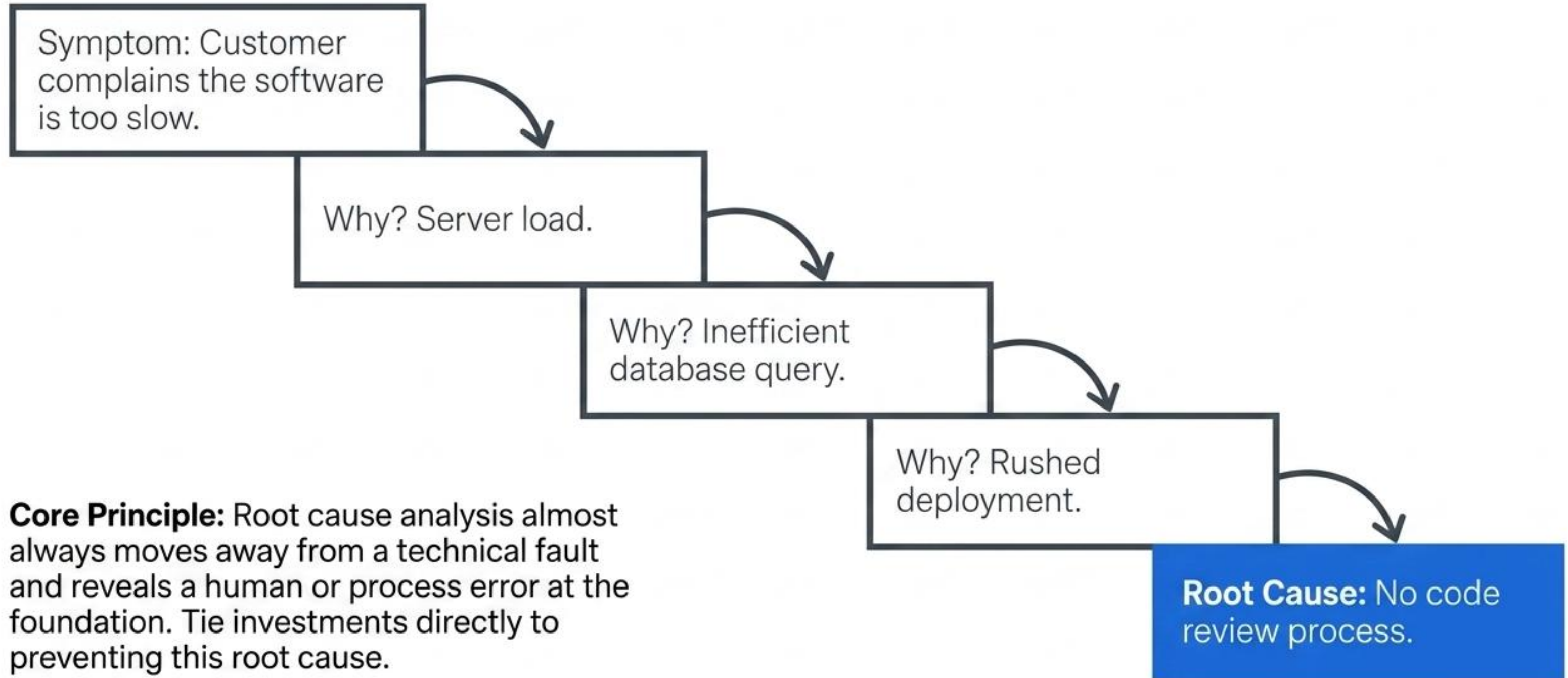
Workaround Users

The most revealing participants. They are solving the problem today with a patchwork of spreadsheets or manual processes. They haven't found a good solution; they have found the minimum viable process.

The Discovery Interview Funnel



Digging past the symptoms: The 5 Whys



Making Sense of the Noise



Step 1: Transcribe Accurately (Raw Data)

Exact quotes and specific workflows are your data. Paraphrasing loses the specificity needed to convince stakeholders.



Step 2: Affinity Mapping (Theming)

After 5-8 interviews, review the full set for patterns. Group recurring frustrations and similar workflows into overarching themes.



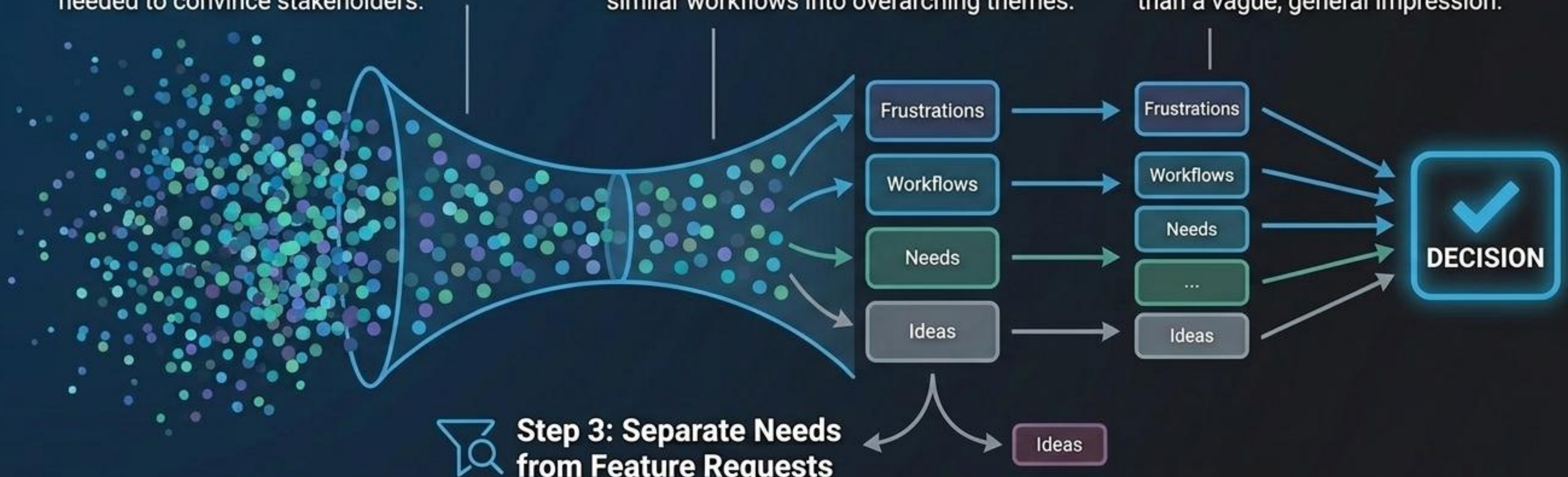
Step 4: Weight by Specificity

A recent, concrete incident carries significantly more evidential weight than a vague, general impression.

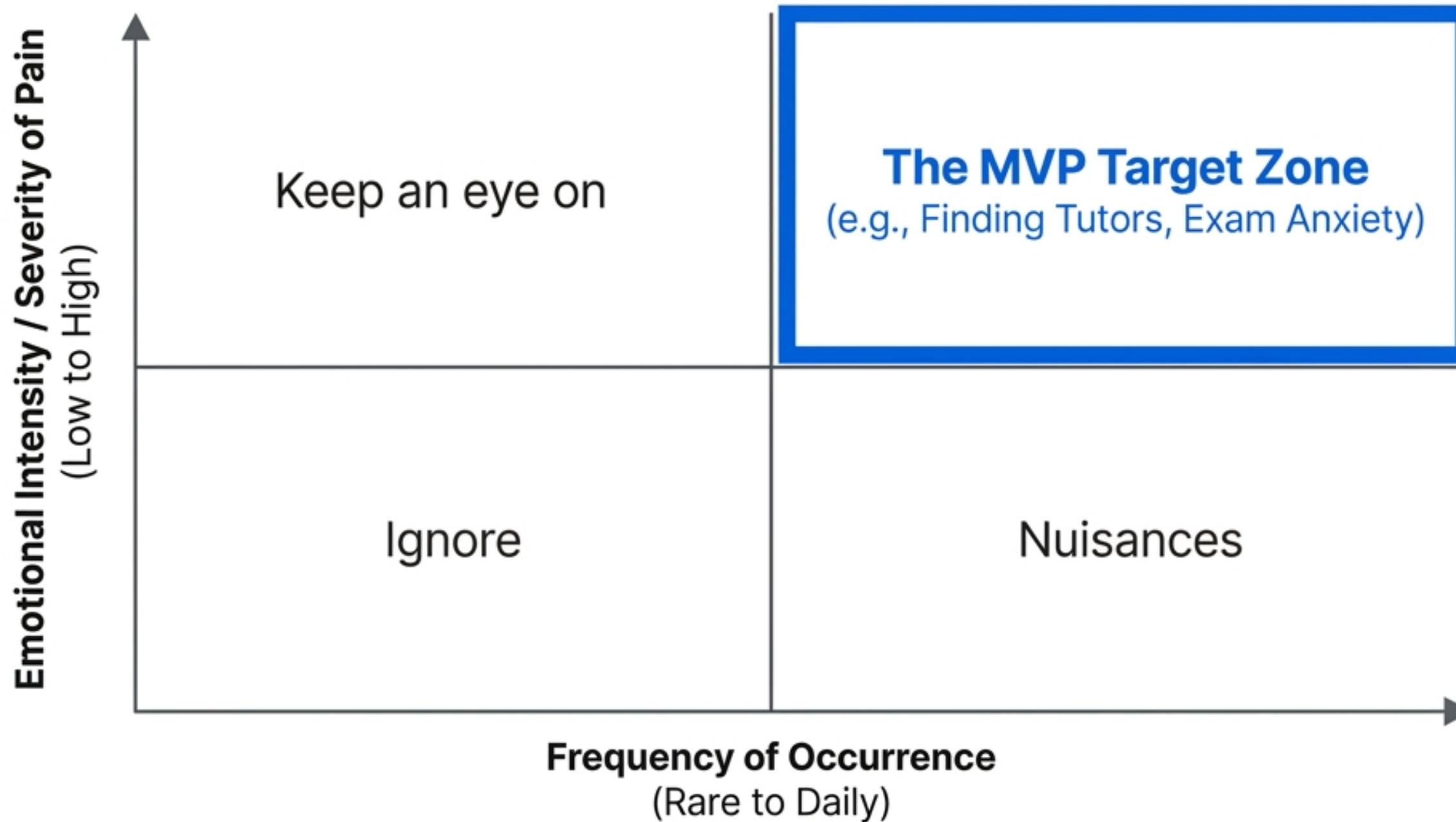


Step 3: Separate Needs from Feature Requests

When customers suggest a solution ("I wish it sent an email"), record the underlying problem, not just their feature suggestion.

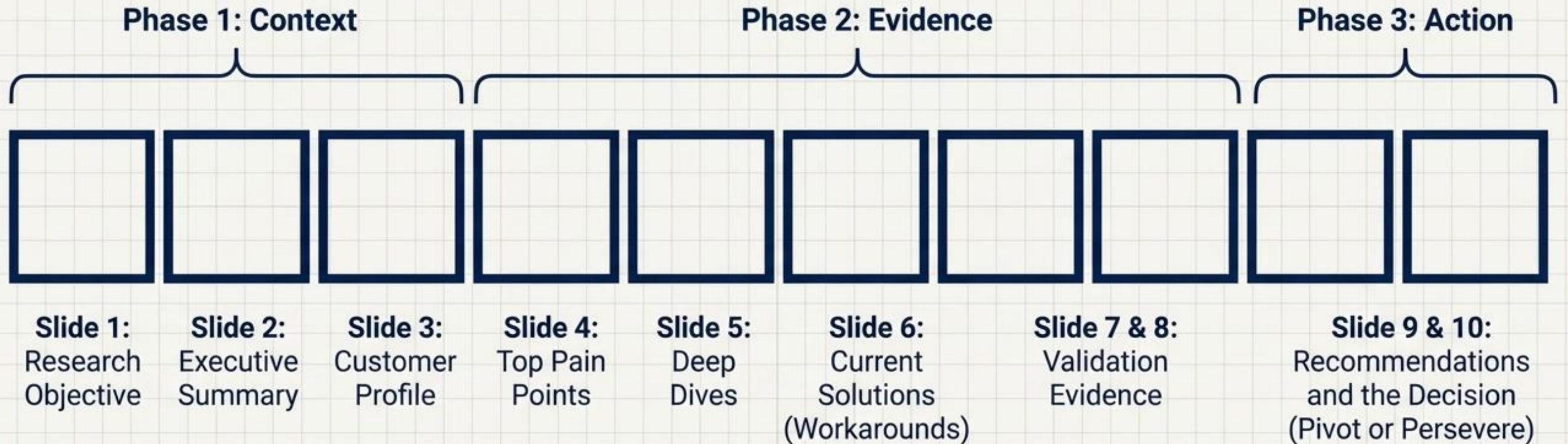


Mapping the noise: The Pain Point Matrix



Takeaway: High-emotion problems paired with high-frequency occurrence indicate the strongest market opportunities

The 10-Slide Stakeholder Presentation Blueprint



The Golden Rule: Always present Evidence before Recommendations. Stakeholders support decisions when they see a clear chain from interview data to insight to validation.

Presenting Findings to Stakeholders

⚠ The Pitfalls (What to Avoid):



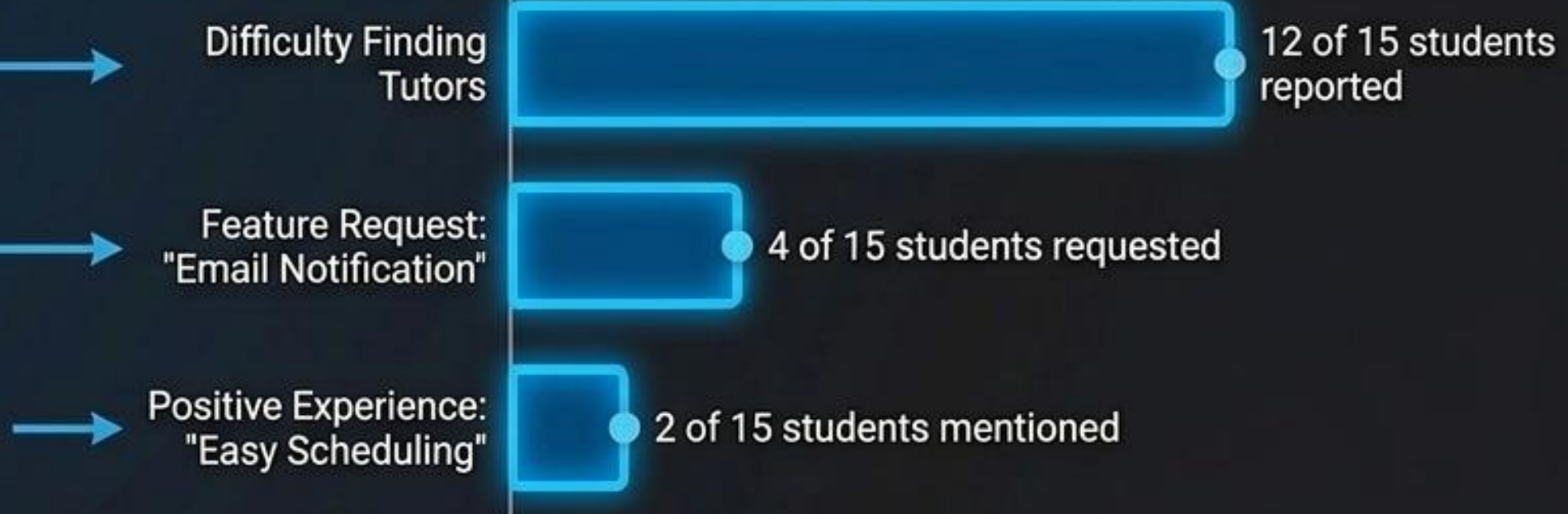
✅ The Best Practices (What to Do):

Focus on Patterns: Use simple charts to show frequency (e.g., "12 of 15 students reported difficulty finding tutors").

Provide a Clear Customer Profile: Show exactly who was interviewed to build credibility.

Let Problems Drive Solutions: Every chart or quote should directly answer: "What should stakeholders learn from this?"

Focus on Patterns: Use simple charts to show frequency



Best Practices for Visual Storytelling

The Pitfalls



- **Don't read** customer notes aloud.
- **Don't present opinions as facts** ("Students love our idea").
- **Don't start** the presentation with your solution instead of the discovered problem.

The Best Practices



Rule 1: Focus on Patterns. Charts over raw numbers.



Rule 2: Provide a Clear Customer Profile to build credibility.

 "I spend 4 hours a week just trying to schedule one session..."
— Customer Interviewee.

Rule 3: Let Problems Drive Solutions.

Every chart or quote should directly answer: "What should stakeholders learn from this?"

From Evidence to Action

The Evidence Base



Interviews Conducted: 15 Niche Early-Adopters.



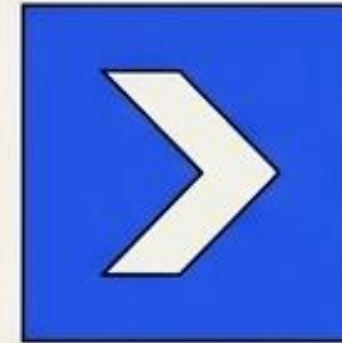
Top Validated Problem: [Insert Primary Pain Point] (80% frequency).

The Insight Synthesis



The "Aha!" Moment: The friction is not where we assumed it was. Current workarounds are highly manual and cost-intensive.

The Recommendation



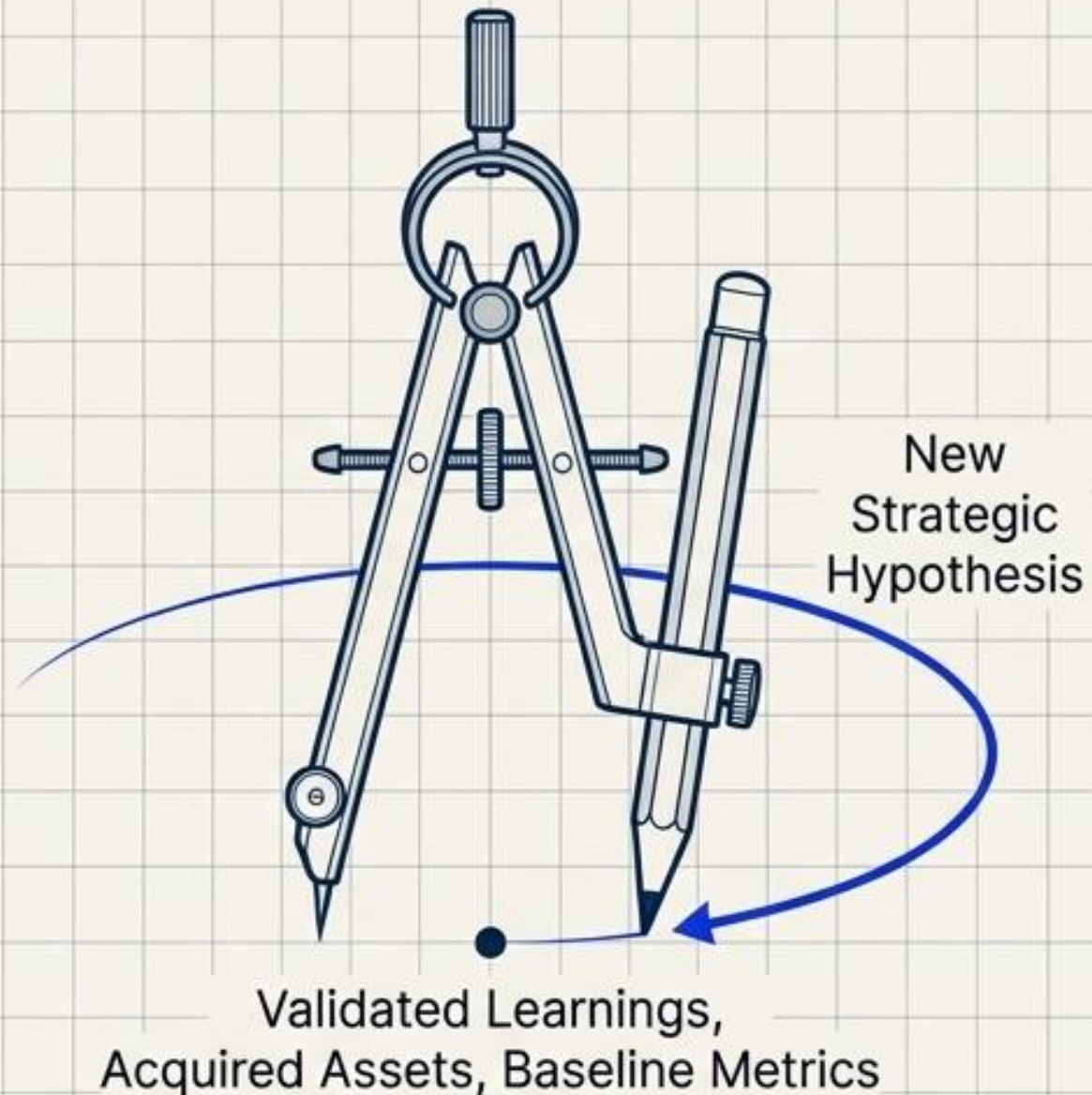
Decision: PIVOT (Customer Need).

Next Steps: Develop a Concierge MVP targeting the newly discovered workflow bottleneck.

The Ultimate Output: Pivot or Persevere

The Decision Framework

- **Persevere:** The evidence validates the core hypotheses. The engine of growth is turning.
Action: Accelerate and scale.
- **Pivot:** The evidence refutes a core hypothesis.
Action: A structured course correction to test a new fundamental hypothesis about the product, strategy, or growth engine.



The Mechanics of a Pivot

A pivot requires keeping one foot anchored firmly to the overarching Vision, while changing the Strategy to get there. It is not throwing everything away and starting over in chaos.

**A startup's runway is not defined by months of cash left.
It is defined by how many pivots the company can still make.**

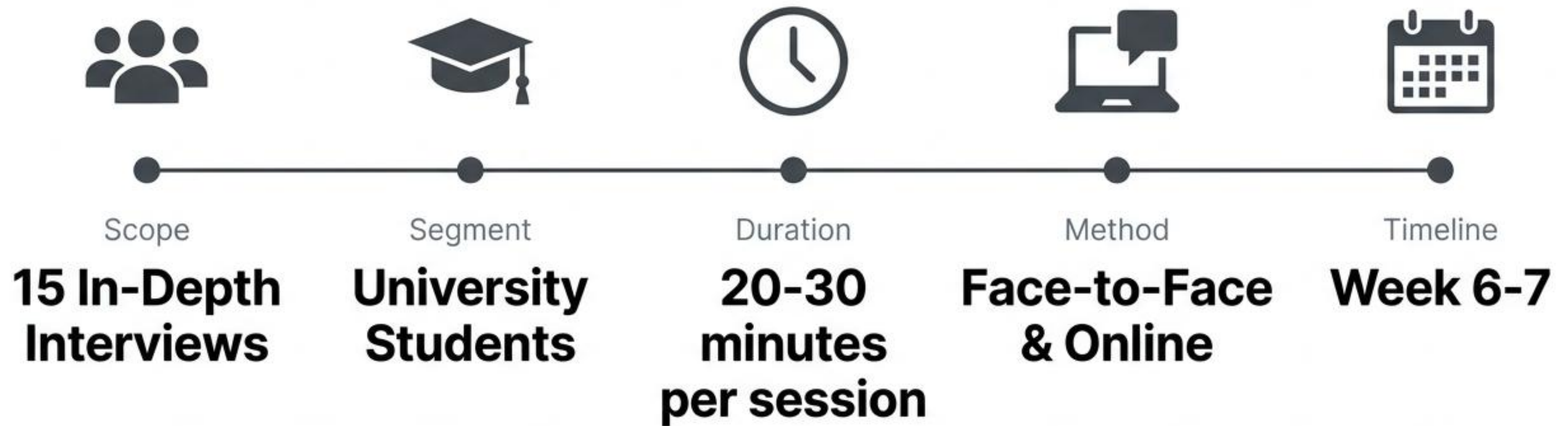


Case Study

Do university students experience significant challenges when finding tutoring support?

Is the problem real?	How often does it occur?	How serious is the problem?	How are students solving it today?
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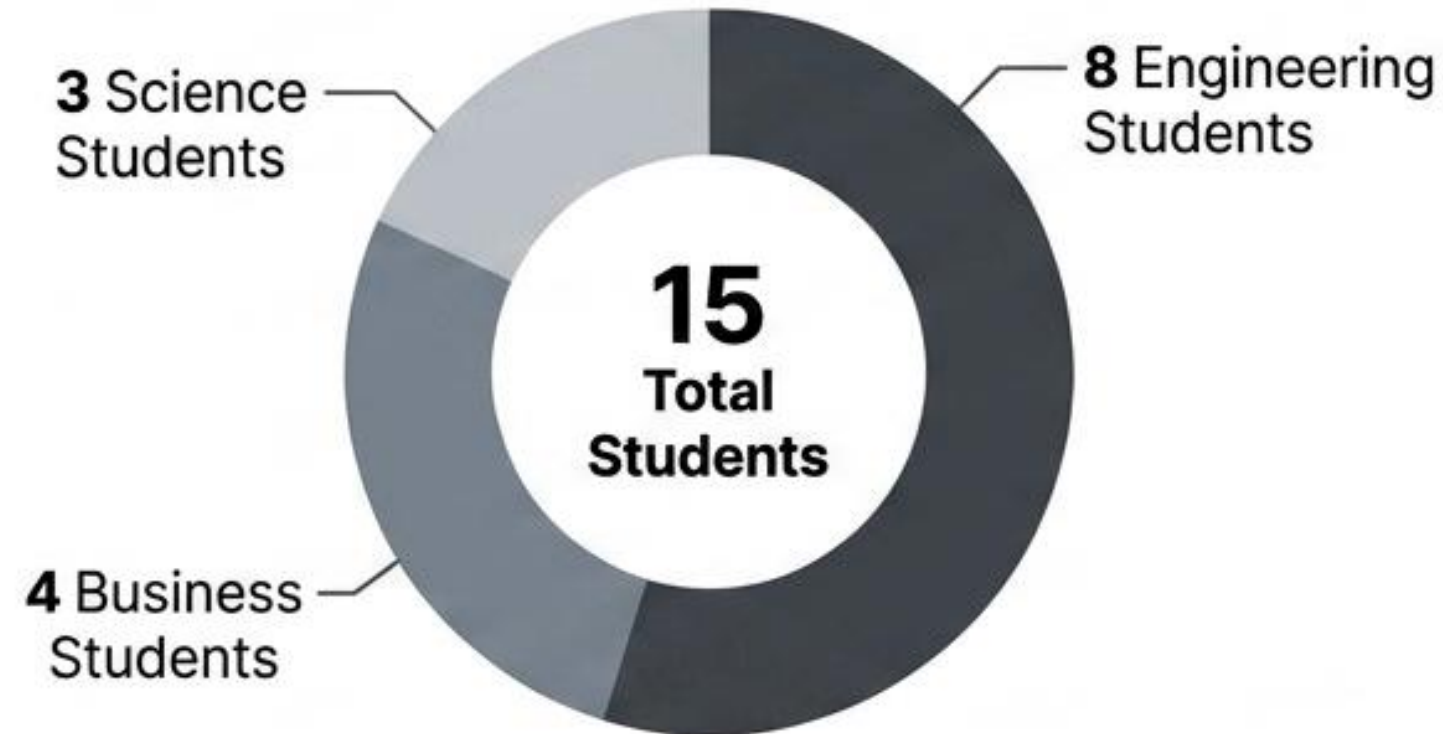
Research Methodology: A Structured Approach to Discovery



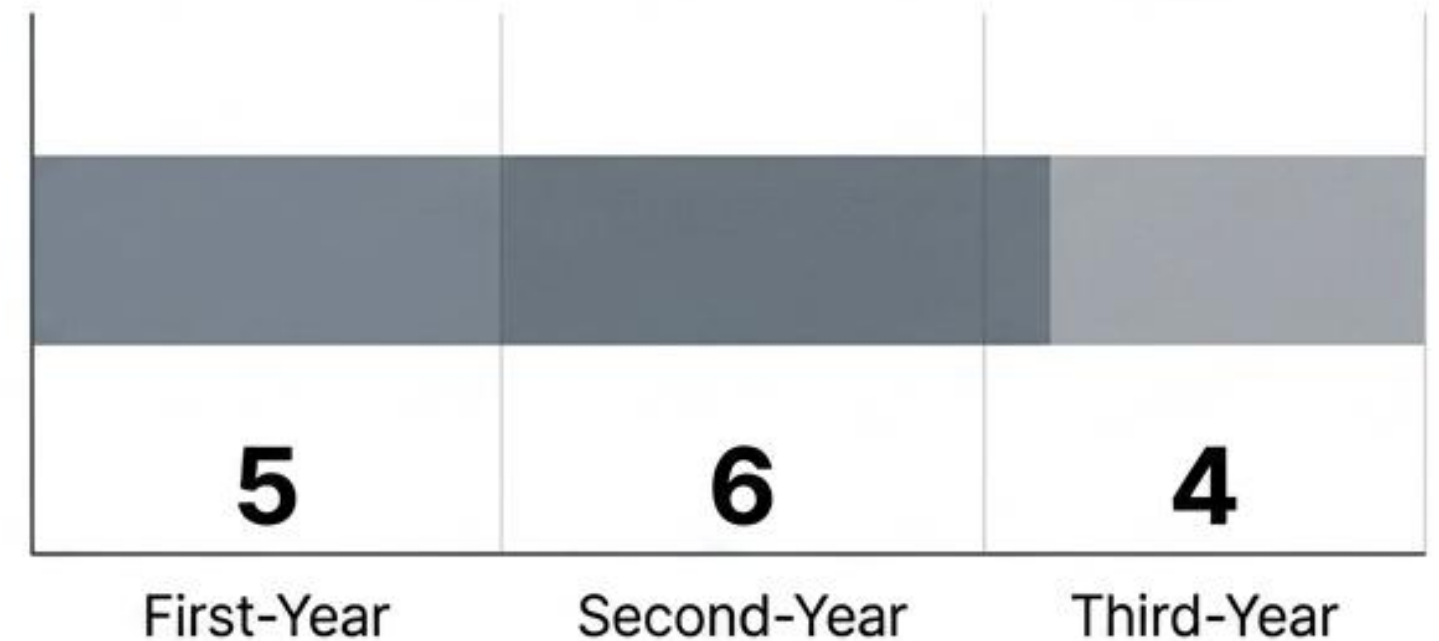
Actionable insights require rigorous, targeted qualitative data collection.

Customer Profile: Diverse Representation Across Disciplines and Seniority

Disciplines



Seniority



A highly representative sample ensuring findings are not isolated to a single faculty or year.

Top Pain Points: The Search for Help is the Primary Bottleneck



12 out of 15 students identified the fundamental search process as their primary obstacle.

Customer Quotes: The Reality of the Student Experience

“I spent two days looking for a tutor before my exam.”

— Finding Tutors (12 Mentions)

“Private tutoring is **too expensive** for me.”

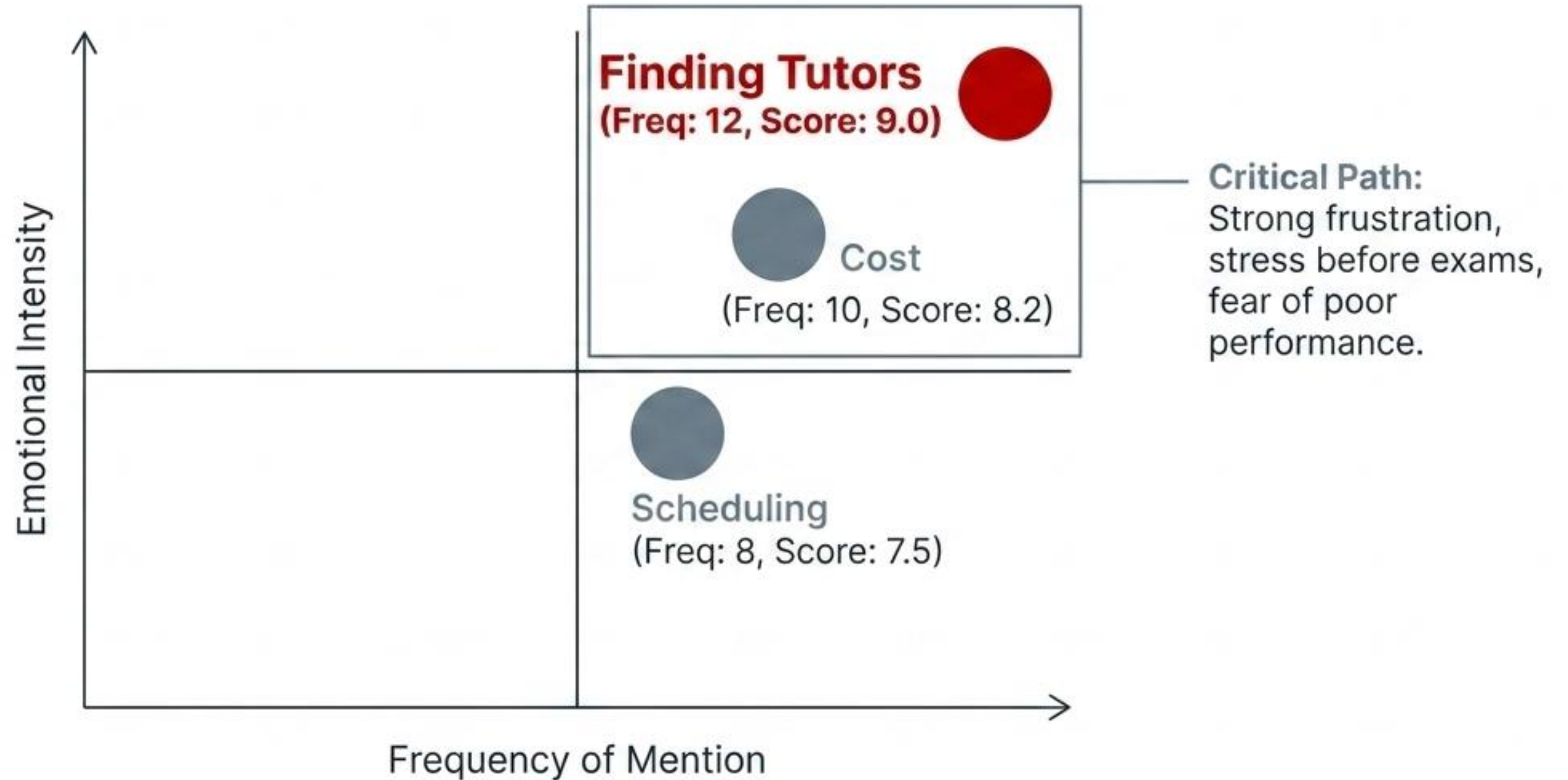
— Cost (10 Mentions)

“My schedule never matches the tutor's **schedule**.”

— Scheduling (8 Mentions)

Beyond the numbers, the current ecosystem causes acute academic anxiety and lost study time.

Emotional Evidence: Prioritizing High-Stakes Friction



High-emotion, high-frequency problems indicate the strongest market opportunities.

Current Solutions: High Demand, Broken Alternatives

Current Solutions	Usage Volume	Effectiveness	Friction Points
YouTube	High (12 users)	Low (Generic)	✗ No direct feedback
Friends	High (10 users)	Medium	✗ Scheduling conflicts
Facebook Groups	Medium (9 users)	Low	✗ Lack of trust/vetting
Private Tutors	Medium (8 users)	High	✗ Prohibitive cost / Hard to find

Students invest significant time and social capital into workarounds, proving raw market demand.

Validation Evidence: Proof of a Viable Market Gap

12/15

Problem
Mentioned

10/15

Pain Score > 8

8/15

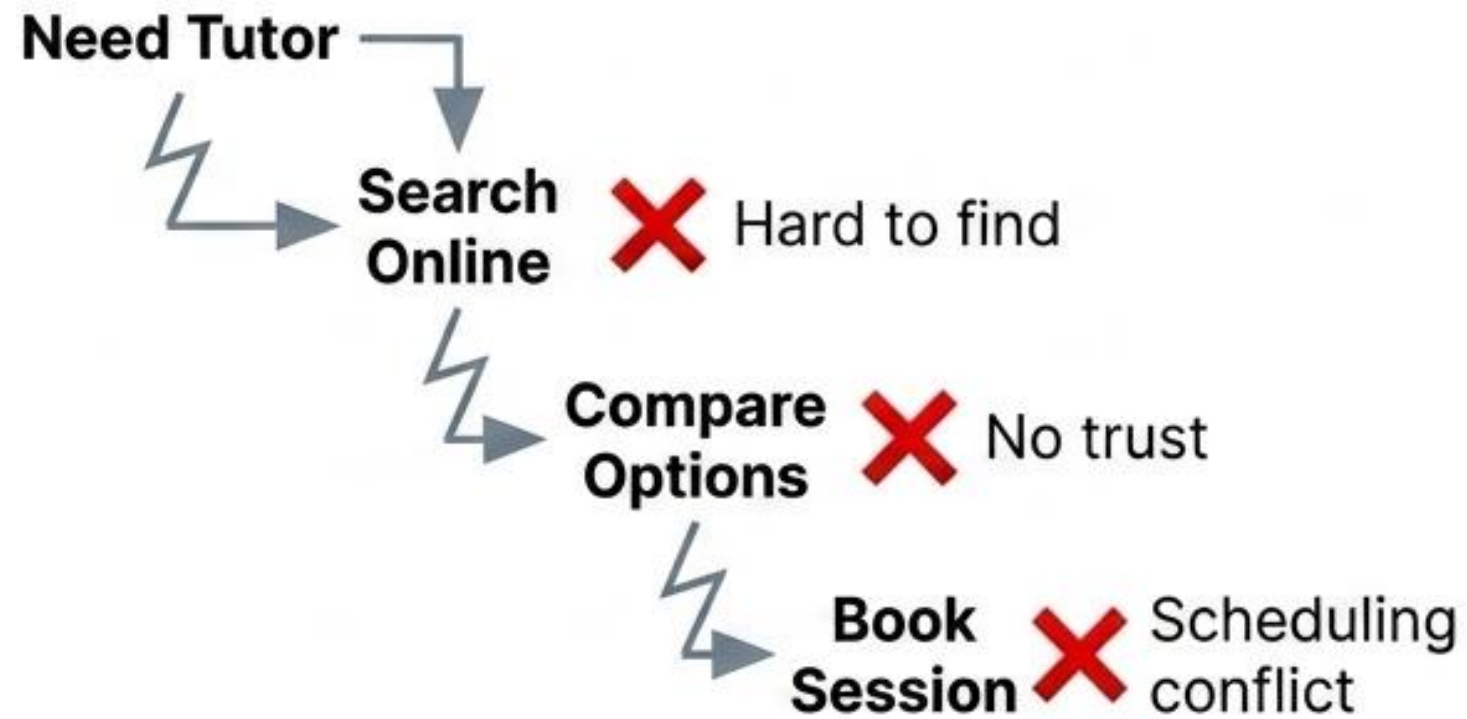
Currently Paying
for Alternatives

11/15

Actively Wants a
Better Solution

Opportunity Analysis: Streamlining the Student Journey

The Current Journey



Impact: Lost study time, increased stress, poor academic performance.

The Opportunity



The opportunity lies in consolidating a fragmented, high-anxiety process into a single trusted platform.

Recommendation: Persevere with MVP Development

The Verdict



PERSEVERE

The Action Plan

1. Proceed to MVP development.
2. Focus core feature set on Tutor Matching (Solving the 12/15 search pain).
3. Integrate Verified Reviews (Solving the trust deficit).
4. Build Flexible Scheduling infrastructure (Solving the 8/15 time conflict pain).

A clear chain from interview data → insights → validation → data-backed action.